

Golden Period for India's Banks



Nearly three decades is a long time to track the evolution of India's banks and non-banks. The latest BT-KPMG Survey of India's Best Banks and NBFCs for 2023-24 takes a deep dive into the forces shaping this sector. From the burden of massive non-performing assets, our banks today are not just resilient but thriving. A recent S&P Global Ratings note highlights this resilience, citing stabilising asset quality and a projected decline in bad loans in the banking sector to 3% of gross loans by the end of the financial year.

Yet, as *Anand Adhikari* notes, headwinds remain. Interest rate volatility, liquidity pressures, and a decline in low-cost deposits are forcing banks to rethink strategies, including raising deposit rates—moves that could compress net interest margins and profitability. Rising delinquencies in micro-loans and tighter capital requirements for unsecured lending also signal potential risks.

The 29th BT-KPMG survey evaluated India's banks and NBFCs across over 35 quantitative parameters, alongside qualitative inputs judged by a distinguished jury chaired by Jayant Sinha, former Chair of the Standing Committee on Finance and MoS Finance. Other eminent jury members were Kalpana Morparia, Alice G. Vaidyan, Subhash Chandra Garg, Dinesh Kumar Khara, Gunit Chadha, and A.P. Hota.

As Sinha puts it, the Indian financial system is doing extraordinarily well right now. "The hard work of the last 10 years to restore strength and resilience to the Indian financial system is paying off. Whether we look at our public sector banks, our private banks, or NBFCs, all are doing very, very well," he says. Khara attributes this success to early risk identification, robust mitigation measures, and strong capital positions. Veteran banker Morparia sums it up best. "I have been in banking now for 49 years, and this is truly the golden period," she says.

The jury picked ICICI Bank as the Bank of the Year; it also emerged as the Best Large Indian Bank. State Bank of India won the Best Bank in Innovation award, while Bajaj Finance emerged as the Best Large NBFC. J.P. Morgan won the Best Foreign Bank award, and the Lifetime Achievement Award went to Dinesh Kumar Khara, former SBI Chairman.

This edition also puts the spotlight on Ashok Vaswani, who occupies the C-suite at Kotak Mahindra Bank, which has moved up a notch to No. 3 among Large Indian Banks in the BT-KPMG study. In an exclusive interview, the global banking veteran talks about his vision for the bank, and says technology is the new arms race in the financial services space.

Meanwhile, the Reserve Bank of India is set for a fresh chapter under its new Governor, Sanjay Malhotra. With the RBI intensifying its focus on compliance and governance, the former IAS officer is expected to bring a fresh perspective to the growth-versus-inflation debate. As *Surabhi* and *Teena Jain Kaushal* write, the key question for 2025 is whether the RBI will cut rates early in the year to spur economic growth, which slowed to 5.4% in Q2FY25—well below expectations. **BT**

Siddharth

siddharth.zarabi@aahtak.com

@sazarabi

Business Today

<http://www.businesstoday.in>

Chairman & Editor-in-Chief: Aroon Purie
Vice Chairperson & Executive Editor-in-Chief: Kalli Purie
Group Chief Executive Officer: Dinesh Bhatia
Executive Director: Rahul Kanwal
Chief Operating Officer: Alok Nair
Editor: Siddharth Zarabi
Group Creative Editor: Nilanjan Das
Group Photo Editor: Bandep Singh

Managing Editor: Anand Adhikari
Executive Editor: Krishna Gopalan
Executive Editor, BusinessToday.in: Arvin Vincent

CORRESPONDENTS

Economy Editor: Surabhi
Senior Editor: Neetu Chandra Sharma
Editor (Money Today): Teena Jain Kaushal
Associate Editor (Money Today): Navneet Dubey
Senior Assistant Editors: Arnab Dutta, Palak Agarwal, Richa Sharma
Senior Correspondent: Riddhima Bhatnagar
Correspondent: Astha Oriel

RESEARCH

Chief of Research Bureau: Rahul Oberoi
Principal Research Analyst: Prince Tyagi

COPY DESK

Senior Editor: Abhik Sen
Senior Assistant Editors: Shishir Kumar Behera, Vikram Gopal
Assistant Editor: Bitasta Basu

PHOTOGRAPHY

Deputy Chief Photographer: Rajwant Singh Rawat
Staff Photographer: Hardik Chhabra
Photo Coordinator: Vidushi Mehrotra

ART

Art Director: Rahul Sharma
Associate Art Director: Raj Verma
Chief Designer: Prabal Biswas

EVENTS

Senior Manager: Sourabh Dutta

PRODUCTION

Chief of Production: Harish Aggarwal
Deputy Manager: Narendra Singh
Production Coordinator: Ayekpam David Meitei

LIBRARY

Assistant Librarian: Satbir Singh
Executive Secretary: Jyoti Kochhar

BUSINESS TEAM (MAGAZINE)

National Head-Business Today Magazine: Siddhartha Chatterjee
Assistant General Manager: Girish C

BUSINESS TEAM (BT TV)

Branch Head-North: Ankush Madan

AD OPS

Deputy General Manager: Avinash Karkera
Marketing: Vivek Malhotra, Group Chief Marketing Officer
Newsstand Sales: Deepak Bhatt, National Head-Distribution;
Vipin Bagga, General Manager (Operations); **Rajeev Gandhi,** General Manager (North); **Yogesh Godhanlal Gautam,** Regional Sales Manager (West)

Vol. 34, No. 1, for the fortnight December 23, 2024

to January 5, 2025. Released on December 23, 2024.

● Editorial Office: India Today Mediaplex, FC 8, Sector 16/A, Film City, Noida-201301; Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): A1-A2, Enkay Centre, Ground Floor, V.N. Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001; Tel: 0124-4948400; Fax: 0124-4030919; Mumbai: 1201, 12th Floor, Tower 2 A, One World Center (Jupiter Mills), S.B. Marg, Lower Parel (West), Mumbai-400013; Tel: 022-69193355; Fax: 022-66063226; Chennai: 5th Floor, Main Building No. 443, Guna Complex, Anna Salai, Teyrnampet, Chennai-600018; Tel: 044-28478525; Fax: 044-24361942; Bangalore: 202-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Tel: 080-22212448, 080-30374106; Fax: 080-22218335; Kolkata: 52, J.L. Road, 4th floor, Kolkata-700071; Tel: 033-22825398, 033-22827726, 033-22821922; Fax: 033-22827254; Hyderabad: 6-3-885/7/B, Raj Bhawan Road, Somajiguda, Hyderabad-500082; Tel: 040-23401657, 040-23400479; Ahmedabad: 2nd Floor, 2C, Surya Rath Building, Behind White House, Panchwati, Off: C.G. Road, Ahmedabad-380006; Tel: 079-6560393, 079-6560929; Fax: 079-6565293; Kochi: Karakkatt Road, Kochi-682016; Tel: 0484-2377057, 0484-2377058; Fax: 0484-370962 ● Subscriptions: For assistance contact Customer Care India Today Group, C-9, Sector-10, Noida (UP) - 201301.

Email: wecare@intoday.com | Phone / Whatsapp: +91 8597 778 778 (Monday to Friday, 10 am-6 pm)

● Sales: General Manager Sales, Living Media India Ltd, C-9, Sector 10, Noida (U.P.) - 201301; Tel: 0120-4019500; Fax: 0120-4019664 © 1998 Living Media India Ltd.

All rights reserved throughout the world. Reproduction in any manner is prohibited.

● Printed & published by Manoj Sharma on behalf of Living Media India Limited. Printed at Thomson Press India Limited, 18-35, Milestone, Delhi-Mathura Road, Faridabad-121007, (Haryana). Published at F-26, First Floor, Connaught Place, New Delhi-110001. Editor: Siddharth Zarabi

● Business Today does not take responsibility for returning unsolicited publication material. All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/New Delhi only.



For reprint rights and syndication enquiries, contact syndications@intoday.com or call +91-120-4078000

www.syndicationtoday.in